

Individual Donors' Giving Intention and Behavior: *Effect of Their Perceptual Determinants on the Nonprofit Organization*

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Abstract—The dimensions of each construct of individual perception on nonprofit organization and their effects on individual giving intention and behavior were studied by using survey to selected 393 valid respondents. The authors report the result that three distinct categories of two perceptual level (nonprofit organization specific and cause specific) can impact on giving intention and behavior, namely perceptions of the benefits (if any) that might accrue from support, perceptions of the operational performance for the specific nonprofit organizations, and perceptions of nonprofit brand equity. And then the authors examined the effects of the components (e.g. perceptions of demonstrable benefit, emotional benefit and familial benefit; perceptual effectiveness, perceptual efficiency; the perceptions of brand personality, brand image and brand awareness) of each perceptual category on individual giving intention and behavior respectively. And a positive casual link between individual giving intention and giving behavior is also revealed.

Keywords— *perceptual benefit; perceptual performance; perceptual brand equity; giving intention; giving behavior*

I. INTRODUCTION

In China, although it is reported that the individual donors gave 42.8 billion RMB to the charity to develop nonprofit service in 2008 and it exceeds the firms' donation amount firstly [1], it is still insignificant compared with the fast-growing of nonprofit organizations. Wang & Jia (2002) addressed that with the continually increasing of the number of the NPO; lack of resources is still one of the main barriers for many nonprofits' further development in China [2]. Furthermore, cutting down of government financial support, changing of individual donors' living styles and self-concepts, constraint of resources limitation and aggravation of competition, which has been worsen the nonprofit organization's resource plight. Correspondent from Worker Daily Zhang (2006) found there remained a great funding gap in the development of Beijing Children's Welfare Institution, Relief Stations, Red Cross and other charitable organizations [3]. However, some other nonprofit organizations in China, especially those with "China" or "Chinese" in the name, raise more than 10 million RMB or even billion per year from individual donations. For instance, in the year 2008, China Foundation for Poverty Alleviation raised 283 million RMB, and China Charity Federation Foundation raised 408 million

RMB [1]. With the increase of Chinese rich class, mature of charitable organizations and the improvement of Chinese individual donors, domestic donations would increase somehow. But facing to the former situations, new problems would be emerged: lack of funds makes "grassroots' organizations" hard to develop. According to the survey by Chen et al. (2007) from McKinsey, 85% existing donor resources are occupied by only 7% nonprofit organizations holding support from governments, while the grassroots especially with the smaller size are very difficult to generate enough donations [4]. Why in the same donation situation there is significant difference between them?

Based on this, from the perspective of individual donor's conception to nonprofits, this paper tries to explain and test: why many people still choose not to donate to the nonprofit organization; and for those donated yet, why they choose those bigger or government initiated nonprofits only? And what are their key determinants in their decision making of donation?

II. LITERATURE REVIEW AND HYPOTHESES

Many researches support correlations between attitude and behavior while few studied on attitude of individual giving [5]. Therefore, some authors have researched the impacts of demographic, socio-economic, psychological variables on individual donation behaviors. Based on variables effects in individual choice of nonprofit organization, researchers divided these influential factors into extrinsic factor and intrinsic factor, where extrinsic factors refer to those existences independent from human beings, and intrinsic factors are the underlying motives for selecting to support a nonprofit organization [6]. About the former, variables such as age, gender, income, social class, social norms and the degree of religious conviction have all been shown to impact on donation behavior. Findings suggested these factors do effect on individual donation making. In respect of the latter, factors shown to be significant indicators of giving including empathy, sympathy, nostalgia, as well as feelings of fear, guilt and other emotions. Sargeant & Woodliffe (2007) based on literature reviews, summed up determinants of individual donations and also carried out many propositions from sources, external factors, motivation, and the process determining factor, output, personal characteristics, feedbacks and other aspects [7]. By reviews of existing

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literatures, the reasons about why individuals are willing to donate to a certain nonprofit have been empirically examined from a widely perspective (e.g. sociology, psychology etc.).

However, donation is an interactive choosing process actually, and it is incomplete to neglect the impacts of the recipient organization on the potential donors' behaviors. Thus, authors such as Glaser (1994) and Sargeant et al. (2004) have examined how donors perceive the management of the organization, its performance and a variety of benefits that might accrue to the individual from giving, but empirical examination of the impact of these factors has yet to be attempted[8]-[9]. This is an issue of considerable practical importance since these are variables over which fundraisers may exert some control. It is, therefore, Sargeant et al.(2008) report the results of a large-scale postal survey of donors to nine national nonprofits and conclude that brands personality traits associated with emotional engagement, service, voice, and tradition are capable of serving as the basis for differentiation and are also linked to facets of individual giving behavior[10]. Hou et al (2009) have to delineate brand equity of the support of nonprofits, to explore the nature of the relationship between these and individual donor giving intention, and to discuss the mediating role of self-concept between two constructs [11]. However, there is, little empirical work on donor perceptions of the recipient organization and the role that might play in stimulating giving behavior [6].

Thus, to explore and test the impacts more integrally and precisely, in the first phase, some correlated and measurable perceptual factors of individual donors' behavior have been established. Then, two focus groups each containing 8-10 members of potential donors are formed randomly and stratified by a cross-section of age, gender and educational level. Discussion of each group lasts for around one hour and is taped all the time. Discussions are held mainly on the questions like "what kind of nonprofits you would choose to donate, what kind of perceptual factors of nonprofits may attract you mostly?" and so on. After discussions, recordings of two groups are transcribed and analyzed. Results show there are three distinct categories of perceptual constructs from two levels (nonprofit organization specific and cause specific) respectively, namely perceptions of the benefits that might accrue from support's cause, perception of performance and brand equity of specific organization, the latter two belongs to nonprofit organization specific.

A. Benefit perception

Social Exchange Theory suggests that donors will often be motivated to give because they perceive that some benefits will accrue to them as a consequence of their gift [12]. Sargeant et al.(2006) suggested these benefits may be categorized as demonstrable benefits, emotional benefits and family benefits[6].

For some donors, the donation process has often been viewed as the consequence of selfish acts, and their donation behaviors have been proved as to wish to achieve some certain kinds of individual returns. Therefore, donors will select nonprofit organization to support on the basis of whether they have benefited in the past or believe that they will do so in the future [13]. These benefits perceived are always demonstrable.

And for some other donors, they can also obtain benefit from a nonprofit donation because of the emotions experienced in so doing, rather than from any tangible benefits they might receive [14]. Sargeant et al.(2006), for example, if a nonprofit reply to the people whose dog was die from cancer, then, this people may feel his/her donation may help the others dogs from cancer, and tend to choose to donate to this organization[6].

Alternatively, for some donors, the motivation to support a nonprofit derives from the need to assist or demonstrate an affinity with one's friends or loved ones [15]. They believe their donations may benefit their friends or loved ones who are suffered from this disease and their donation may be in the name of their relatives past away [16]. Therefore, hypotheses can be carried out:

H1: There is a significantly positive impact of the degree of perceived benefit to a cause on individual donor giving intention and behavior.

B. Operational performance perception

Besides the benefits that may accrue from giving, it became apparent that a donor's perception of a nonprofit operational performance would also impact on giving behavior. Indeed it was apparent that perceived performance was the key issue at both the level of the sector in determining giving and at the level of the organization in determining which specific charities would be supported. Thus the perception of nonprofit operational performance can be divided into effectiveness and efficiency.

Products quality information could be transferred by advertisements in private market. Similarly, a nonprofit organization could publish their former situations about its annual fundraising and its fund operation through various information channels. Saxton (1996) stressed that the extent to which charities achieve useful goals for society and are thus seen to be fulfilling their mission is a critical contributory factor in giving [17].

Many researchers have identified that the perceived efficiency of nonprofit organizations is a key determinant of giving behavior [18]. For example, after scandal of president of united Way in 1992, public felt they had been hurt by misappropriation of this organization and as the result, they stop to donate to United Way. Warwick (1994) suggested donors expect this proportion to be 20:80 while most donors believe this could be 50:50 in fact[19]. If a nonprofit spends this ration of funds on its cause campaign, then this organization would receive greater donation. Thus, hypotheses are developed:

H2: There is a positive causal link between the degree of perceived performance of NPOs and donor giving intention and behavior.

C. Brand equity perception

In fact, donors' decision-making is similar as ordinary consume decision, product brand may effect on final choice. Brand equity provides a uniqueness that can help individual donors to distinguish a nonprofit brand from its competitors [20]. Therefore, the better the perception of nonprofit brand equity, the more likely attracted potential donors to donate to

this organization. According to the research of Faircloth (2005) on nonprofit brand equity, it formed by three dimensions including personality, image and awareness of a brand [21].

Consumers may be inclined to purchase products and services that match their own sense of self according to brand congruence theory [21]. Additionally, a brand personality that is strong, favorable, and/or unique to the consumer legitimates the brand as partner and can result in more positive reciprocal exchanges. Similarly, a nonprofit brand personality allows donors to feel more comfortable with the brand and form brand preferences or intentions of giving.

Researchers reported more positive brand image is positively related to willingness to pay premium prices and higher brand equity [21]. Communicating a brand image to resource providers is important, since identification with nonprofit targets and values is a significant contributor to positively biased support behavior toward the nonprofits by consumers. Therefore, donors inclined to donate to those nonprofits with strengthened brand image they perceived. And one would expect memory recall and greater organizational familiarity by individual donors to increase supportive behavior toward the nonprofit. Thus:

H3: There is a significantly positive relationship between perceived brand equity of a NPO and individual giving intention and behavior.

H4: There is a positive cause link between individual intention giving to a NPO and one's giving behavior.

III. METHODOLOGY

A. Questionnaire design

In the second stage, based on the results of first stage and reviewing the relative literatures, 31 items are with high frequency in measuring the constructs. Then, by using of Delphi method, each expert classified these items according to their definitions, and also evaluated items from their appropriation in measuring and clarity by scoring from 1 to 5. 28 scored 4 or higher items were kept finally, which are to measure demonstrable benefit, emotional benefit, familial Benefit, effectiveness, efficiency, brand personality, brand image and brand awareness. In the forming of this scale, two result variables—giving intention, giving behavior and demographic variables are added.

B. Assessing the measures

Small scaled pre-test has been done to evaluate the quality of this questionnaire. We sent 100 questionnaires to a university in Chongqing randomly while 68 valid respondents were received. Quality analysis is mainly on those items be marked with “unclear in meaning”; while quantity analysis are done by using of item analysis between high score group and low score group. Then independent variable T-test was done to evaluate the difference. The results shows two items not significant are eliminated including “the nonprofit “X” you donate to wastes too many resources” and “the nonprofit “X” you donate to always make people to feel exiting”. Then consistency analysis and factor analysis are employed to test the structural validity and consistency of this scale.

In exploring factor analysis, 10 factors explain 77.52% variance. Factor loading each item is higher than 0.6 except BP2, and all items loaded heavily on the hypothesized a priori factors ($p < 0.01$). Next we proceeded to test internal consistency of our measures using Cronbach's alpha. All of them are higher than 0.7, and the general consistency value of this scale is 0.880. Then confirmatory factor analysis is employed by Lisrel 8.7, the results shows that model is good fit with data ($\chi^2/df = 1.48$, RMSEA = 0.080), and the each factor in the measurement scale has the better convergent and discriminant validity. These in turn suggest that items in this scale are suitable to measure the related constructs.

C. Samples and Data Collection

We can not sample only those active donors, but also those potential and lapsed. Then, we sent our questionnaire randomly by QQ, E-mail and also record their QQ number, E-mail address to avoid overlap. Thus, 1000 questionnaires are sent out while 516 answers are received during Mar.-Apr., 2008 in China. To make sure the respondents are with enough ability in judgment and perception, 88 by those whose age are less than 20 are thrown away. Then, in analyzing of kept samples, 35 are found could not distinguish from key nonprofits, so they are eliminated also. Thus, 393 samples are valid. The sample demographics were 59.8% male, 57.3% a range of 25-35 years, 53.6% master above, 28.9% employee of firms, 25.2% government officials, 20.3 % teachers, 19.5% students.

IV. RESULTS

A. Correlation Analysis

Through the correlation analysis, the results show the means of all variables are from 2.62 to 5.19, their S.Ds. are from 0.98 to 1.24, and the coefficients are from 0 to 0.63.

A regression model requires compliance with assumptions of normality, linearity, collinearity. The results suggested normality ($p > 0.05$) tested with a Kolmogorov-Smirnov statistic. Examination of P-P Plot and scatterplot of each dependent variable. Giving intention and behavior indicated a linear model. Although there are certain levels of correlations between dependent and independent variables, even some of the measure correlations reached 0.50, consideration of the collinearity diagnostics indicated no Condition Index greater than 20, thus, collinearity was not detected.

B. Hierarchical Regression Analysis

1) *Take giving intention as dependent variable:* When selecting regression equation of demographical variables and individual giving intention as benchmark, regression equation was not significant ($F = 1.005$, Sig. = 0.418). After perceived nonprofit brand equity, benefit and performance were introduced step by step, explaining capability is increased, and all of them are significant at the level 0.001. Thus, the regression results indicate that three perceptual dimensions of brand equity – brand personality ($\beta = 0.256$, Sig. = 0.046), brand image ($\beta = 0.348$, Sig. = 0.007) and brand awareness ($\beta = 0.320$,

Sig.=0.002) can be identified as explanative variables in predicting individual giving intention significantly; for three dimension of perceptual benefits, demonstrable benefit($\beta=-0.025$, Sig.=0.796) and emotional benefit($\beta=-0.040$, Sig.=0.679) are negatively correlated to individual giving intention but not at a significant level, while familial benefit($\beta=0.282$, Sig.=0.003) is positively related to giving intention; and for two dimensions of perceptual performance perceptive, organizational operational effectiveness($\beta=0.379$, Sig.=0.008) is significantly positive correlated to giving intention while the effect of organizational efficiency is not positive and significant ($\beta=-0.170$, Sig.=0.189).

2) *Take giving behavior as dependent variable:* When selecting regression equation of demographical variables and giving behavior as benchmark, regression equation was significant ($F=7.036$, Sig. =0.000). After perceived nonprofit brand equity, benefit and performance were introduced step by step, explaining capability of models increased, and all of them are significant ($R^2=0.414$, $F=5.651$, Sig. =0.000). Regression results indicate: for three perceptual dimensions of brand equity, brand personality($\beta=0.058$, Sig.=0.620), brand image($\beta=0.091$, Sig.=0.443) and brand awareness($\beta=0.021$, Sig.=0.865) might impact individual giving behavior positively but not significantly; for three dimension of benefit perceptive, demonstrable benefit ($\beta=-0.079$, Sig.=0.366) and emotional benefit($\beta=-0.048$, Sig.=0.583) are negatively related to individual giving behavior while the effect of familial benefit is positive ($\beta=0.131$, Sig.=0.140), but all of them are not significant; for two dimensions of performance perceptive, organizational operational effectiveness($\beta=0.227$, Sig.=0.045) is significantly positive correlated to giving behavior while organizational efficiency($\beta=-0.065$, Sig.=0.636) is negative and not significant; and individual giving intention to certain nonprofit is significantly positive correlated to one's actual giving behavior ($\beta=0.263$, Sig.=0.003).

V. CONCLUSION

Empirical results in this research indicate that for individual donors, demonstrable benefit and emotional benefit do not significantly impact giving intention and behavior while familial benefit is significantly positive correlated to giving intention but not significantly influential on actual giving behavior; perceptual effectiveness of certain nonprofit is both positive in giving intention and giving behavior while efficiency might negatively impact giving intention and giving behavior but not significantly; for three dimensions of brand equity, all are positive correlated to giving intention while their positive effects on actual giving behavior are not significant; there is a positive link between giving intention and giving behavior. These suggest that perceptual factors of individual donors to nonprofits can influence their giving intention and then generate giving behavior.

Generally speaking, Chinese donors do not agree with the idea to acquire benefits from donation. In fact, many donors given anonymously, they do not want to acquire demonstrable benefits but to help the others. And for recalling

loved ones or family members may benefit from their donations, people are always with strong giving intention. But these factors do not influence on their actual giving behavior to certain nonprofit directly.

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